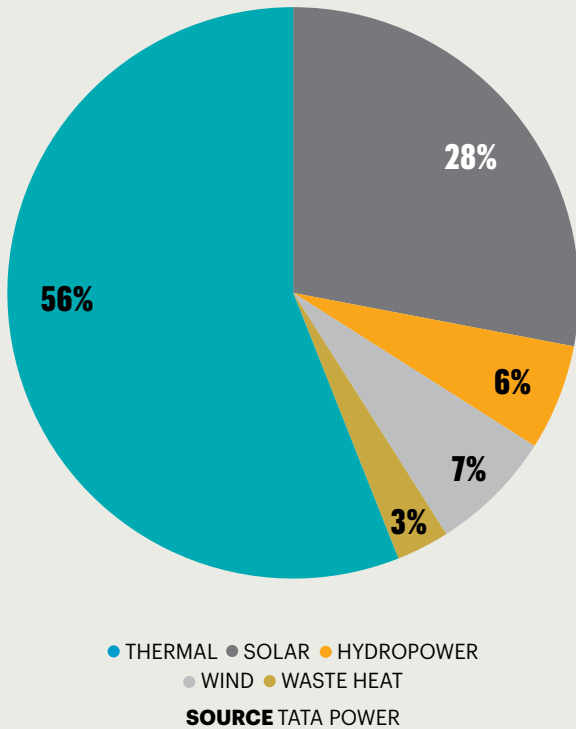


THE PORTFOLIO

• Tata Power's energy mix



hydro and pumped hydro projects. In FY24, the company invested ₹12,000 crore, and this is expected to rise to ₹22,000 crore in FY25. Additionally, Tata Power is working on a hydropower project in Bhutan. The 5,000-MW project is a partnership between leading power companies in Bhutan and India aimed at creating a clean energy landscape. The projects include 2,000 MW of hydro, 2,500 MW of pumped storage, and 500 MW of solar capacity, ensuring round-the-clock energy supply to both Bhutan and India.

Beyond conventional power, the company is also eyeing nuclear energy, following the Indian government's decision to open the sector to private players. While nuclear projects have long gestation periods, Tata Power sees them as crucial to its future clean energy portfolio.

For the past two years, Tata Power has been actively

exploring opportunities in the nuclear energy sector, focusing on key aspects such as technology, regulatory requirements, nuclear fuel sourcing, storage and disposal, potential plant locations, state-level statutory approvals, public support, water availability, nuclear liability, and third-party insurance.

ON TRACK

The company has maintained a steady growth trajectory, with increased profitability for 21 consecutive quarters. Sinha says the company is poised for even stronger performance, backed by planned capital expenditure across its three core businesses—generation, transmission and distribution, and renewables.

“There is a huge amount of consistency. A great foundation that has been laid for growth. The fundamentals of the company are right. I strongly believe we will continue to perform much better considering the type of capital expenditure that we have planned in all our three core businesses,” he says.

Sinha highlights three key priorities to drive future growth—accelerating project execution, despite challenges related to land acquisition and power evacuation, maintaining a strong focus on returns, and ensuring efficient cash management.

Analysts continue to view Tata Power as one of the best-positioned players to capitalise on renewable energy opportunities due to its comprehensive renewables platform. Tata Power also aims to add 5 GW of renewable capacity over the next two years.

“A strong focus on renewables and transmission will drive robust earnings growth for Tata Power. With a well-defined clean energy strategy, the company is targeting a 2.5x increase in PAT by FY2030E over FY2024. We expect PAT to grow at a 20% CAGR from FY2024 to FY2027E, with a healthy RoE of 14% in FY2027E,” says a Sharekhan report dated February 5. An ICICI Securities report describes Tata Power as an emerging end-to-end power solutions provider covering the entire value chain—from generation to distribution, trading, solar manufacturing, large-scale solar utility projects, and rooftop EPC solutions. “However, execution and order booking in the solar EPC segment, as well as the pace of renewable energy capacity additions, have been slower than anticipated. These will remain key areas to watch going forward,” the report adds.

Sinha believes Tata Power is well-positioned to leverage its expertise, industry knowledge, and technical capabilities to successfully scale up its renewable energy portfolio. **BT**

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